Personal & Corporate Finance Guide 2024

Comprehensive Reference for Financial Literacy and Decision Making

Updated March 2024 | For educational purposes

1. Introduction to Finance

Finance is the discipline of managing money, assets, investments, and liabilities across individuals, businesses, and governments. Financial literacy enables better decision-making at every stage of life.

Types of Finance

- Personal Finance: budgeting, saving, insurance, investing for individuals.
- Corporate Finance: capital structure, funding, profitability for businesses.
- Public Finance: government revenue, expenditure, and debt management.

2. Personal Finance Fundamentals

Building a strong personal financial foundation starts with living within your means, saving consistently, and protecting against risk.

The 50/30/20 Budgeting Rule

- 50% of take-home income for Needs: rent, groceries, utilities, loan EMIs.
- 30% for Wants: dining, entertainment, subscriptions, travel.
- 20% for Savings and Debt Repayment: emergency fund, investments, extra payments.

Emergency Fund

- Target: 3 to 6 months of total monthly living expenses.
- Keep in a liquid instrument: savings account or liquid mutual fund.
- Do NOT invest emergency funds in equity or locked instruments.

Net Worth Formula

- Net Worth = Total Assets minus Total Liabilities.
- Example: Assets Rs.45L (property Rs.30L + investments Rs.15L), Liabilities Rs.18L (home loan Rs.15L + car loan Rs.3L) = Net Worth Rs.27L.

3. Investment Options in India

Diversification across asset classes reduces risk and improves long-term returns.

Asset Class Comparison

- Equity / Stocks: High risk, high return. Average Sensex return approx 12% per annum long term.
- Fixed Deposits (FD): Low risk, fixed return. Typical rates 6.5% to 7.5% per annum.
- Mutual Funds via SIP: Diversified; minimum SIP Rs.500 per month; professional management.
- Real Estate: Illiquid asset; rental yield 2% to 4% in India; long-term appreciation.
- Gold: Inflation hedge; 10-year CAGR approximately 9.8%.
- PPF (Public Provident Fund): Government-backed; 7.1% per annum tax-free; 15-year lock-in.

NPS (National Pension System): Retirement corpus; tax benefit up to Rs.2L under Sec 80C + 80CCD(1B).

4. Corporate Finance Concepts

Corporate finance focuses on maximizing shareholder value through financial planning, capital allocation, and strategy.

Key Ratios and Formulas

Capital Structure: Debt-to-Equity ratio. Healthy range: 1:1 to 2:1.

Working Capital = Current Assets minus Current Liabilities.

EBITDA: Earnings Before Interest, Tax, Depreciation and Amortisation.

ROI = (Net Profit / Cost of Investment) x 100.

P/E Ratio = Price per Share / Earnings per Share. Indian market average: 20 to 25x.

Current Ratio: Current Assets / Current Liabilities. Healthy value is above 2.

Quick Ratio: (Current Assets minus Inventory) / Current Liabilities. Healthy = above 1.

5. Taxation in India (FY2024-25)

Understanding tax slabs helps optimize take-home pay and investment planning under the new tax regime.

New Tax Regime Income Slabs

Up to Rs.3 lakh: Nil (0%)

Rs.3 lakh to Rs.7 lakh: 5%

Rs.7 lakh to Rs.10 lakh: 10%

Rs.10 lakh to Rs.12 lakh: 15%

Rs.12 lakh to Rs.15 lakh: 20%

Above Rs.15 lakh: 30%

Key Deductions and Rates

Section 80C deduction limit: Rs.1.5 lakh per financial year.

HRA exemption: Minimum of actual HRA, 50% salary (metro) or 40% (non-metro), rent paid minus 10% of salary.

GST rates: 0%, 5%, 12%, 18%, 28% depending on goods or services category.

LTCG on equity: 10% on gains above Rs.1 lakh; asset held more than 1 year.

STCG on equity: 15% flat rate; asset held less than 1 year.

6. Risk Management and Insurance

Insurance is financial protection, not an investment. Skipping it to save premiums creates dangerous financial gaps.

Coverage Guidelines

Life Insurance: Pure term plan; coverage = 10 to 15 times annual income.

Health Insurance: Minimum Rs.5 lakh individual; family floater for households.

Premium Budget: Total insurance premium should not exceed 5% of annual income.

Risk Types: Market risk, credit risk, liquidity risk, inflation risk, operational risk.

7. Financial Planning by Life Stage

Priorities shift as you age. Align your investments and protection strategy to your current life stage.

Stage-wise Milestones

Age 20s: Build emergency fund; start SIP Rs.2000+/month; buy term insurance early.

Age 30s: Increase SIP; home loan if needed (EMI max 40% of income); maximise 80C.

Age 40s: Reduce debt aggressively; boost retirement corpus; diversify across assets.

Age 50s: Shift to low-risk assets; maximise NPS; plan estate and succession.

Retirement Target: 25 times annual expenses (based on the 4% safe withdrawal rule).

8. Key Financial Terms Glossary

Important Terms

Inflation: RBI CPI target is 4% plus or minus 2%.

Repo Rate: RBI benchmark lending rate; as of 2024 it is 6.5%.

SIP: Systematic Investment Plan; fixed monthly mutual fund contribution.

NAV: Net Asset Value; price per unit of a mutual fund.

CAGR: Compound Annual Growth Rate; measures annualised investment return.

FII: Foreign Institutional Investor; large overseas fund investing in Indian markets.

NFO: New Fund Offer; like an IPO but for a new mutual fund scheme.

Diversification: Spreading investments to reduce concentration risk.

9. Common Financial Mistakes to Avoid

Awareness of common pitfalls helps build wealth faster and avoids costly errors.

Avoid These Mistakes

No emergency fund: even one medical emergency can derail all finances.

Delaying insurance: premiums rise sharply with age; health issues may cause rejection.

Chasing past mutual fund returns: past performance does not guarantee future results.

Over-borrowing: EMI above 40% of income is financially dangerous and stressful.

Ignoring inflation: Rs.10,000 today will buy far less in 20 years without investment growth.